

MGT 301

Theme # 06

Business Markets and Business buyer Behavior

⇒ Business Markets:

- Sell Products and services to other organizations rather than directly to the consumer.

- B2B (business to business market).
- Companies in this field include manufacturers, service providing companies and government institutes.

⇒ Business Buyer Behavior:

- behavior of organization to purchase products for their use or resell to other organizations.
- Role of wholesaler and retailers are part of this behavior.

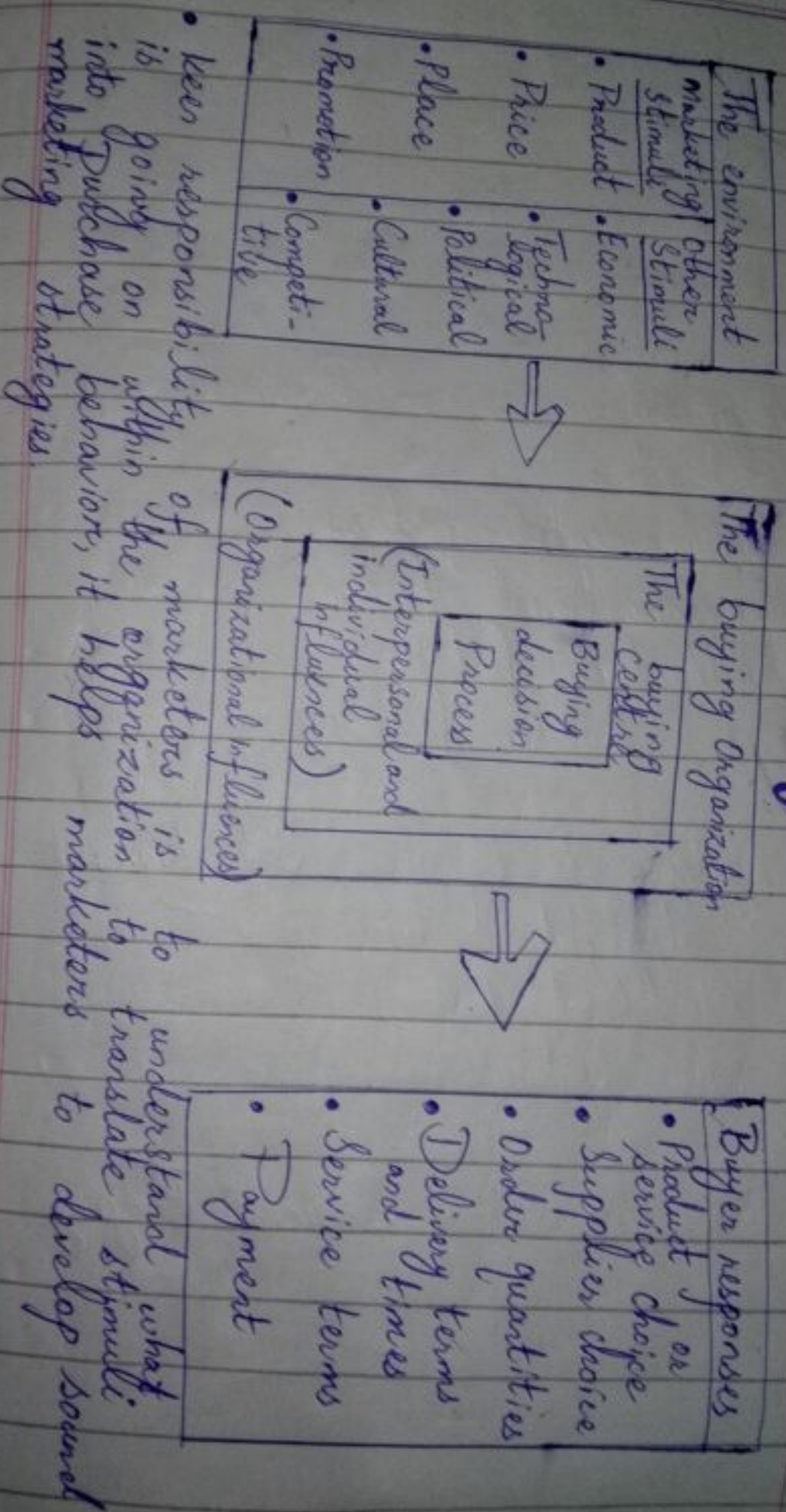
=> Business Buying Process:

- The Process is which employees of organization decide which product are required and purchase them after evaluating and selecting best alternative solutions.

=> Characteristics of Business Markets:

- 1) Deal with few customer than consumer market.
- 2) More geographically concentrated than consumer market.
- 3) Demand for business market depends on consumer goods.
- 4) Strong buyer and seller dependency on each other as compared to consumer market.

Model of Business Buyer Behavior



=> Buying activity consist of two Parts

- 1) buying centre
- 2) buying decision Process.

=> key influences on Business Buying Behaviors:

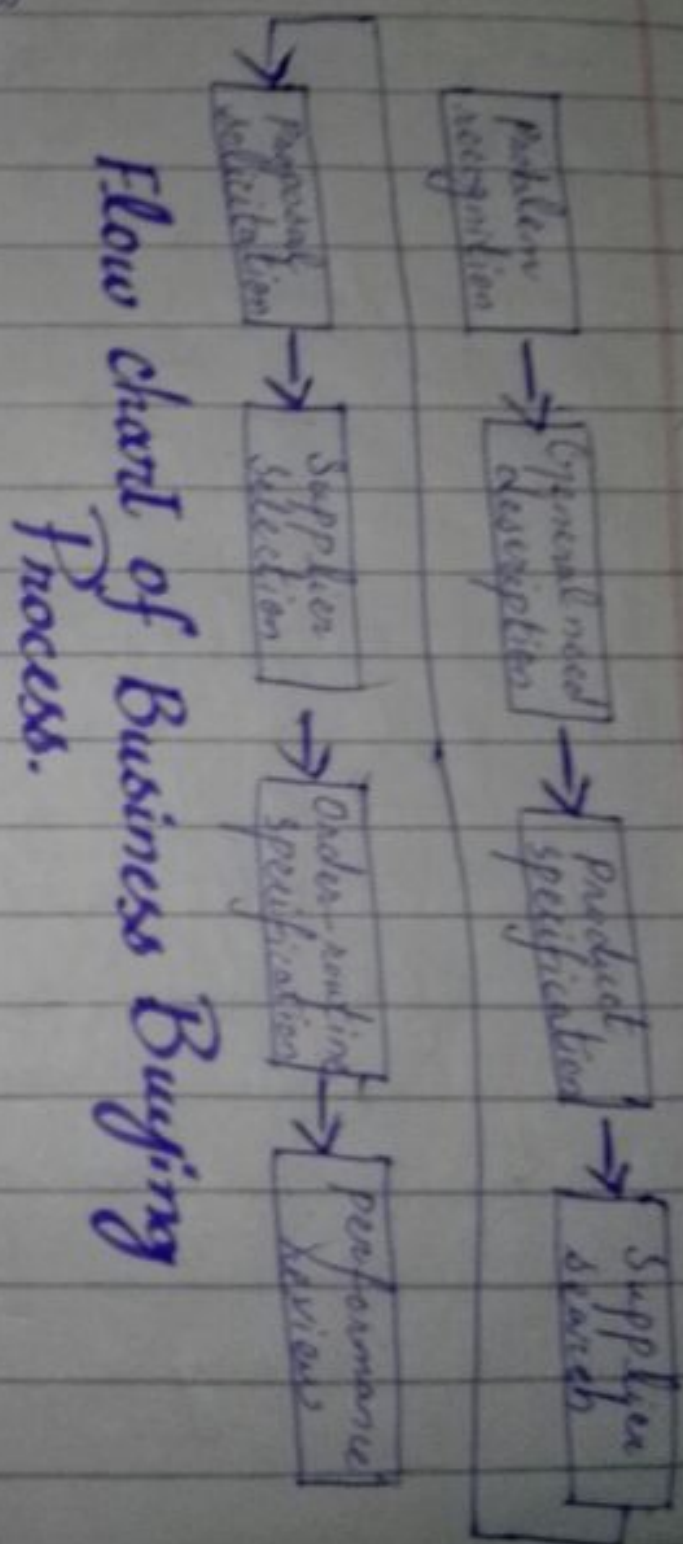
- 1) Environmental factors
- 2) Organizational factors
- 3) Individual factors
- 4) Interpersonal factors.

=> Types of Buying Situation:

- 1) Straight Rebuy
- 2) Modified Rebuy
- 3) New task

=> Participants in Business Buying Process.

- two
- 1) User
 - 2) Influencers
 - 3) Buyers
 - 4) Deciders
 - 5) Gatekeepers
- buying



Theme #07

Customer driven Marketing Strategy

Companies must address two questions in order to implement a customer-driven marketing strategy.

- 1) Which consumers can we serve?
- 2) How can we provide service to them?

To answer the above queries there are four foundations of organizational strategies.

- 1) Select customers to serve
 - Segmentation
 - Targeting
- 2) Decide owner value Proposition
 - Differentiation
 - Positioning

Segmenting Consumer Industry

⇒ Variables for segmentation

1) Geographic variables

- Regions of the world
- Climate
- Population density

2) Demographic variables

- Age
- Gender
- Occupation
- Income
- Academic background
- Family composition
- Household size

3) Psychological variables

- Lifestyle and values
- Personality
- Social class

4) Behavior variables:

- Usage
- Presence or absence of knowledge
- Frequency of use

Specific variables

=> Segmentation for business market

- 1) Client operational characteristics
- 2) Buying methods
- 3) Situational considerations
- 4) Personal characteristics.

=> Segmentation of foreign sector

- 1) Geographical area
- 2) Economic factors
- 3) Political factors
- 4) Cultural factors

=> Requirements for effective segmentation.

- 1) Measurable
- 2) Accessible
- 3) Substantial
- 4) Differentiable
- 5) Actionable

Types of target market strategies

- 1) Undifferentiated / Mass Marketing
 - "one-size-fits-all" focus on common need
- 2) Differentiated / Segmenting Marketing
 - focus on differences
- 3) Concentrated / Niche Marketing
 - focus on one specialized part
- 4) Micro Marketing / Tailor made Marketing
 - Suit the needs and wants of specified individual
- 5) Local Marketing
 - Design different offering for different localities

Product Positioning:

The place that organization wishes to have in the mind of customers, distinct and better than the competitors is known as product position

and the Process by which such position is attained is known as Positioning.

=> Options for differentiation

- 1) Product differentiation
- 2) Service differentiation
- 3) Channel differentiation
- 4) People differentiation
- 5) Image differentiation

Differences must be:

- Important (valuable for customer)
- distinctive (clearly differentiate with comp)
- Superior (higher in rank, status or quality)
- Communicable (differentiate product offering)
- Preemptive (offering before your competitors)
- Affordable (targeted customer will be able to)
- Profitable (can generate revenue or good return on investment)

Theme #08

Product, Brand & Services

=> Levels of products:

- 1) Core customer value
- 2) Actual Product
- 3) Augmented Product

=> Types of Products

- 1) Consumer Product
- 2) Industrial Product

=> Consumer Products

- Shopping
- Convenience
- Speciality
- Unsought

=> Industrial Products

- Capital items
- Materials and Parts
- Supplies and services

Special concepts associated with marketing.

- 1) Organizational Marketing:
based on all activities performed to create, maintain or change the targeted customer behavior toward an organization.
- 2) Person Marketing:-
Change the targeted customer behavior toward particular people.
- 3) Place Marketing:-
Change the targeted customer behavior toward particular places.
- 4) Social marketing:-
based on the use of commercial marketing strategies and tools to design programs that influence individual's behavior to improve their well-being and society.

with
=> Levels of Product decisions:

- 1) Individual Product decisions
- 2) Product line decisions
- 3) Product mix decisions

er
=> Individual Product decisions:

- 1) Attributes
- 2) Packaging
- 3) Labeling
- 4) Brand services Branding
- 5 Support Services

=> Product line decisions:

Include product length. It indicates that how many products are in a Product line

• Line stretching is another concept in Product line decision in which company adopts an expansion strategy by launching a new Product in same product line with some diff and additional features.

=> Line filling:

business strategy in which a company fulfills the market gap and tries to reduce competition by increasing the numbers of products in an existing product line.

=> Product mix decisions:

Consist of all products offered for sale.

Four concepts about product mix

Width: Number of various product lines carries by a company.

Length: Sum of all the item in a product line of a company

Depth: All types of offered products in the line.

Consistency: Closely related to different product lines.

=> Process of brand-building

- 1) Name Selection
- 2) Positioning
- 3) Sponsorship
- 4) Development

=> Four concepts in Sponsorship

- 1) Manufacturer brands
- 2) Private brand
- 3) Licensed brand
- 4) Co-branding

=> Four choices while developing a brand

- 1) Line extension
- 2) Brand extension
- 3) Multi-brands
- 4) New brand

=> Characteristics of services

- 1) Inseparability
- 2) Intangibility
- 3) Variability
- 4) Perishability

=> Service-Profit chain:

Employee satisfaction, customer loyalty, and Profitability ^{are} ~~and~~ linked together to form a theory of business management which is known as the service-Profit chain.

=> Types of services marketing

- 1) Internal marketing
- 2) Interactive marketing
- 3) External marketing

=> Strategies for getting products

- 1) acquire a product
- 2) Develop a new product

=> New Product development Process

- Generation of an idea
- Idea screening • concept development
- testing • development of marketing strategy • business analysis
- development of product • test marketing • Commercialization

Theme #09

Price and Pricing

* Price is the only component of marketing mix that generates Profit; all other components represent cost.

⇒ Before setting Price we need to see two things.

1) Price Ceiling:

Upper limit/maximum price limit beyond which customers cannot afford the Price.

2) Price floor:

What minimum Price for a Product can be charged to remain Profitable.

=> Factors Affecting Pricing

1. Overall marketing Strategy
2. Type of demand
3. Type of market
4. Economic Conditions
5. Government
6. Social concerns

=> Basic methods for Price structuring

- 1) Value Based Pricing
- 2) Cost Based Pricing
- 3) Competition Based Pricing

=> Value based Pricing:

- uses the buyers' Perceptions of value, not the seller's cost as the key to Pricing.

- Price is considered before the marketing Program is set.

=> Cost based pricing:

- setting the Price based on the cost incurred for producing, distributing and selling the Product Plus a rational rate of return for effort & risk.

=> Competition based pricing:

- Pricing structure that is used by our competitors.

Special Pricing Concepts:

- 1) Good-value Pricing
- 2) Everyday low Pricing
- 3) High-low Pricing

Pricing Strategies:

- 1) New-Product Pricing Strategies
- 2) Product Mix Pricing Strategies
- 3) Price Adjustment Strategies
- 4) Price Changes

=> New Product Pricing Strategies:

1) Market Skimming Pricing:

Initial high price

2) Market Penetration Pricing:

Initial low price

=> Product Mix Pricing Strategies:

1) Product line Pricing

2) Optional Product Pricing

3) Captive Product Pricing

4) By-product Pricing

5) Product Bundle Pricing

=> Price Adjustment Strategies

1) Discount and allowance pricing

2) Segmented Pricing

3) Psychological Pricing

4) Promotional Pricing

5) Geographic Pricing

6) Dynamic Pricing

7) International Pricing

Price Charges:

1) Price Cuts

- Excess capacity
- Increased market share

2) Price Increases

- Cost inflation
- Increased demand
- Lack of supply

Theme # 10

Marketing Communication

- => Promotional mixes should be designed in a way that informs target market customers about the value and benefits of the product or services offered.
- => Personal selling is one of the oldest and most effective salespeople's strategies when convincing customers to buy product.
- => IMC (Integrated marketing Communication)
- => AIDA (Attention, Interest, Desire, Action)
 - AIDA Proposed by Elmo Lewis.
- => Rational messages uses rational arguments and concepts about characteristics of the Products or services offered, positioning in consumer's mind as the one that will best satisfy their needs.

=> Emotional message:
is just appeals,
it appeals to our feelings,
to something ethereal that is
not seen directly, but that
is there.

=> Moral messages
which is issued
in accordance with legal
provisions, cannot offer misleading
concepts.

=> Different ways of allocating
budget to advertisement.

1) Competitive Parity method:
Setting a budget that
can be compared with competitors.

2) Affordable budget method:
Spend only as much money
on advertising as we have.

3) Objective and task method:

Advertising cost based on short and long term goals of advertising for a brand.

4) Percentage of sales method:

Involves advertising expenses with results obtained on sale.

Theme #11

Place / Distribution

=> Value delivery Network:

A network of suppliers, distributors and customer which partner each other at various stages to ensure the delivery of final products to customers is called Value delivery network.

=> Streams in value delivery network:

- Upstream Partners
- Downstream Partners

=> Upstream Partners:

associated with the supply side of value delivery network

=> Downstream Partners:

value network is more towards the distribution side towards the customers.

Marketing Channel:

=> Management of various flows:

- 1) Physical flow of products
- 2) flow of ownerships
- 3) flow of payments
- 4) flow of information
- 5) flow of promotion

=> Types of distribution systems

- 1) Conventional distribution systems
- 2) Vertical Marketing Systems (VMS)
 - Corporate marketing systems
 - Contractual VMS
 - Administered VMS
- 3) Horizontal Marketing Systems:

=> Types of distribution

- 1) intensive distribution
- 2) Exclusive
- 3) Selective

=> Channel Management Decisions:

- 1) Selecting Channel members
- 2) Managing
- 3) Motivating
- 4) Evaluating

Theme #12

Sustainable Marketing, Social Responsibility and Ethics

=> Sustainability:-

efficient use of natural resources in a way that those are not wasted and would be available for future generations as well.

=> Sustainable Marketing:-

efficient fulfillment of the requirements of the consumers and also providing capability to the future generations for fulfillment of their needs.

=> Criticism on Marketing

- 1) Impact on individuals
- 2) Impact on society
- 3) Impact on other business.

=> Impact on individuals

- High prices of Products
- Deceptive price / psychological price
- High Pressure selling
- Shoddy, unsafe products sold
- Planned Obsolescence

=> Impact on society

- False wants and materialism
- Cultural Pollution

=> Impact on other business

- acquisition of competitors
- Unfair competitive marketing

=> Consumerism movements:

- Purpose of Protecting buyer's rights

Environmentalism movement:

- Concerned with the protection of natural environment
- part of efforts for promotion of sustainable marketing.

= Actions that come under environmentalism:

- product stewardship
- prevention from pollution
- Use of new clean technologies
- Sustainability vision
- Design for environment (DFE)

=> Principles for Sustainable Marketing

- 1) Consumer-oriented marketing
- 2) Customer-value
- 3) Innovative marketing
- 4) Sense-of-mission

Theme # 13

Digital Marketing

Digital media includes:

- digital display advertising (DDA)
- mobile phones advertising
- Social media

History of Digital Marketing

- Term 'internet' first used in 1974 by US computer scientist Vinton Cerf.
- Term 'digital marketing' and first search engine with the name of Archie used in 1990.
- 1993 first clickable ads run on internet.
- 1994 Yahoo and first e-commerce
- 1996 Small search engines like looksmart and Alexe.
- 1997 first media site sixdegree.com
- 1998 Google launch of MSN by Microsoft and Yahoo web searches.

- 2002 launched linkedIn
- 2003 MySpace launched
- 2004 facebook
- 2005 Youtube
- 2006 MS live search started its working, twitter launched and Amazon sales crossed 10 billion dollar.
- 2007 Tumbler and Iphone.
- 2008 Spotify
- 2012 Social media budget increased to 64%.
- 2013 Yahoo acquired Tumbler
- 2014 Facebook acquired whatsapp.
- IOT Internet of things

⇒ DDA (Digital display Advertising)
DDA follows four key stages:

- 1) define
- 2) format
- 3) Configure
- 4) Analyze

- 350 million people active on FB.
- ~~346~~ More than 346 million people read blogs
- 184 million people are bloggers
- Twitter has more than 14 million registered users.
- Youtube claims more than 100 million viewers per month.

⇒ Digital consumers divided into six categories based on the usage of internet.

- basic digital consumers
- retail scouts
- brand scouts
- digitally driven consumers
- Calculated shoppers
- External shoppers